

TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set.*

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling (657) 622-5908. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings>. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help

avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call **(657) 622-5908**.

All remote video participants shall comply with the court's "**Guidelines for Remote appearances**", found at <https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf>.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

August 7, 2026

#	Case Name	
3	Nguyen vs. County of Orange	<u>Motion to Be Relieved as Counsel of Record</u> <i>Motion to Be Relieved as Counsel</i> The court GRANTS the unopposed Motion to Be Relieved as Counsel for Plaintiff DANG NGUYEN, filed by attorneys BRIAN MICHAEL JACOBSON and WILSHIRE LAW FIRM. A prior motion to be relieved from the same attorneys was denied without prejudice on 7/10/26, due to procedural defects related to the client's last known address and notice. (See 7/10/26 Minute Order.) A new motion was thereafter filed, which sufficiently corrects the procedural defects, including notice. As such, the motion is GRANTED. The order shall not become effective until the filing of a proof of service showing service of the order on the client.

		Moving attorney to give notice and file a proof of service within 14 days. <i>Upcoming CMC</i> The court has reviewed the case file, including any timely filed case management statement, and hereby issues this case management order. (Cal. Rules of Court, rules 3.722(d) and 3.728.) County says 3-5 day jury. Plaintiff says jury trial, but does not provide a time estimate. The court sets a 4-6 day jury trial this motor vehicle action for Monday, January 31, 2028, at 8:45 am in Dept. W8. All parties are ordered to comply with the Department's Policies & Procedures and Trial Standing Orders, which are available on the court's public website (www.occourts.org) and inside the department. Any outstanding jury fees are due within 10 court days of this order or will be deemed waived. (See Civ. Proc. Code, § 631.) The court VACATES the Case Management Conference set for August 17, 2026. Plaintiff to give notice.
4	Hernandez vs. Kocsis	<u>Motions for Attorney Fees (x2)</u> <i>1. Motion for Attorney Fees</i> The court GRANTS Plaintiffs MARCO HERNANDEZ and ROSIE HERNANDEZ MORENO's Motion for Attorney Fees. Plaintiffs are awarded attorneys' fees in the total amount of \$143,465.00. To the extent Plaintiffs request costs, the court notes that the costs award was determined in connection with Defendant/Cross-Complainant SUSAN DOROTHY KOCSIS's (hereinafter "Defendant") Motion to Tax Costs. (See ROA 286.)

Under the American rule, which California follows, each party to civil litigation must ordinarily pay its own attorney fees absent a statutory exception or contractual agreement. (*Trope v. Katz* (1995) 11 Cal.4th 274, 278-279; see also Code Civ. Proc., § 1021.) Civil Code section 1717, however, requires the courts to award fees to the prevailing party in actions on contracts which contain clauses entitling the prevailing party in any proceeding relating to the contract to recover attorney fees. (Civ. Code, § 1717(a).) Here, the Court of Appeal found Plaintiffs prevailed in an “action on a contract” that would have provided fees to Defendant had she prevailed. (ROA 335 at p. 7 [Hernandez Appeal (G064238) Remittitur].) Thus, Plaintiffs are entitled to their fees under section 1717. (*Id.*)

“Where a cause of action based on the contract providing for attorney’s fees is joined with other causes of action beyond the contract, the prevailing party may recover attorney’s fees under section 1717 only as they relate to the contract action.” (*Reynolds Metals Co. v. Alperson* (1979) 25 Cal.3d 124, 129.) “Attorney’s fees need not be apportioned when incurred on an issue common to both a cause of action in which fees are proper and one in which they are not allowed.” (*Id.* at pp. 129-130; *Bell v. Vista Unified School Dist.* (2000) 82 Cal.App.4th 672, 687 [“Apportionment is not required when the claims for relief are so intertwined that it would be impracticable, if not impossible, to separate the attorney’s time into compensable and noncompensable units.”]; *Drouin v. Fleetwood Enterprises* (1985) 163 Cal.App.3d 486, 493 [“Attorneys fees need not be apportioned between distinct causes of action where plaintiff’s various claims involve a common core of facts or are based on related legal theories”].)

The Court of Appeal determined this was an action on a contract. Defendant filed a Cross-Complaint alleging five causes of action for indemnification, apportionment of fault, declaratory relief, negligence, and breach of contract. (ROA 13; see also ROA 335.) The breach of contract claim alleged Plaintiffs violated a written lease agreement by allowing Plaintiff Moreno’s adult son, Andrew “Junior” Calderon (“Junior”), to reside at the property without written permission and by “failing to keep the premises

safe" by allowing Junior to smoke on the premises. (*Id.*) Defendant alleged these breaches of contract were the cause of the fire and her resulting damages. (*Id.*) Pursuant to her breach of contract cause of action, Defendant prayed for attorney fees. (*Id.*) The Court of Appeal further found that Defendant's "other claims, such as negligence, were factually intertwined with and predicated on alleged duties arising from the lease—namely, the purported duty to not allow Junior to live on the premises without the landlord's consent and without paying an additional \$50 per month." (ROA 335.)

The Cross-Complaint's allegations that Plaintiff Moreno breached agreement by "failing to keep the premises safe" and that the premises would not have caught fire but for Plaintiff Moreno's breach of contract in allowing Junior to reside at the premises and to smoke on the patio necessarily implicate a determination of the fire's cause. Accordingly, apportioning fees would be impracticable. The Cross-Complaint's contract claims and the defenses thereto involved common or inextricably intertwined facts and legal theories from across the action.

When determining a reasonable attorney fees award using the lodestar method, the court begins by deciding the reasonable hours the prevailing party's attorney spent on the case and multiplies that number by the prevailing hourly rate for private attorneys in the community who conduct noncontingent litigation of the same type. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 998; see also *Environmental Protection Info. Ctr. v. California Dep't of Forestry & Fire Protection* (2010) 190 Cal.App.4th 217, 248.) The court may rely on personal knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009.)

The court finds Plaintiffs' counsels' rate of \$400/hr for Michael Kim and Anthony Silvia, \$500/hr for Alexander Papaefthimiou, \$600/hr for Gregory Garrison, and \$150/hr for Terri Van Havermaat and Claudia Sternin reasonable. Having reviewed and considered Plaintiffs' evidence, and having presided over personal injury and contract cases, the court finds this hourly rate reasonable for attorneys in

the community who conduct litigation of the same type as in this case.

The court has read and considered the parties' moving and opposition papers, counsel's invoices, and other submitted evidence. Based on that review, the court finds that certain entries were excessive, duplicative, or vague, and does not award fees for that work. Applying the above hourly rates and eliminating entries for work that is not reasonable or necessary, the court awards Plaintiffs' attorneys' fees in the total amount of \$143,465.00.

Plaintiffs to give notice.

2. Motion for Attorneys' Fees on Appeal

The court **GRANTS** Plaintiffs MARCO HERNANDEZ and ROSIE HERNANDEZ MORENO's Motion for Attorney Fees on Appeal. Plaintiffs are awarded additional attorneys' fees in the amount of \$76,006.50, for the successful appeal.

The court finds Plaintiffs' counsels' rate of \$495/hr, \$550/hr, and \$600/hr for Michael Kim and Anthony Silvia; \$550/hr and \$600/hr for Alexander Papaefthimiou; and \$200/hr and \$250/hr for paralegals reasonable. Having reviewed and considered Plaintiffs' evidence, and having presided over personal injury and contract cases, the court finds this hourly rate reasonable for attorneys in the community who conduct litigation of the same type as in this case.

The court finds that certain entries were excessive, duplicative, or vague, and does not award fees for that work. Applying the above hourly rates and eliminating entries for work that is not reasonable or necessary, the court awards Plaintiffs attorneys' fees in the total amount of \$76,006.50.

Plaintiffs' request for a multiplier is denied. Although an enhancement for a significant delay in the payment of fees may be appropriate under some circumstances (*Graham v. DaimlerChrysler Corp.* (2004) 34 Cal.4th 553, 584, as modified (Jan. 12, 2005)), a multiplier is not required. As

		noted in <i>Graham</i>, the enhancement may be eliminated if, as here, the lodestar rate is based on the present hourly rate rather than the lesser rate applicable when services were rendered. (<i>Id.</i>) Plaintiffs to give notice.
5	Romero vs. South Coast Villas Homeowners Association	<u>Motion for Leave (re First Amended Complaint)</u> The court GRANTS Plaintiffs JESUS ROMERO and JACQUELINE ROMERO's unopposed motion for leave to file a first amended complaint. The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. (Code Civ. Proc., § 473(a)(1).) The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Code Civ. Proc., § 473(a)(1).) California courts generally allow great liberality, at all stages of the proceeding, in permitting the amendment of pleadings in order to resolve cases on their merits. (<i>IMO Development Corp. v. Dow Corning</i> (1982) 135 Cal.App.3d 451, 461.) Thus, leave to amend to more clearly state a plaintiff's theories of liability should be liberally allowed. (<i>Rainer v. Buena Community Memorial Hospital</i> (1971) 18 Cal.App.3d 240, 253-254.) This liberality only applies so long as there is no prejudice to the opposing party. (<i>Higgins v. Del Faro</i> (1981) 123 Cal.App.3d 558, 564.) Denial of leave to amend is appropriate where inexcusable delay and probable prejudice to the opposing party is shown. (<i>Estate of Murphy v. Gulf Ins. Co.</i> (1978) 82 Cal.App.3d 304, 311.)

		“[I]t is a rare case in which ‘a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case.’ [citation] If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion. [citation]” (<i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530 [internal citations omitted].) Plaintiffs contend that through discovery and the recent completion of Marco Gutierrez’s deposition, they have acquired information regarding the alleged wrongdoing perpetrated by Defendants and Marco Gutierrez’s son, Mark. Plaintiffs now move for leave to file a First Amended Complaint to add Mark A. Gutierrez, individually and dba Mark’s Construction Repair, as a new defendant, and to add the following causes of action: fraud (concealment and intentional misrepresentation), financial elder abuse, and violation of Bus. & Prof. Code § 17200 et seq. The court finds that Plaintiffs’ counsel’s declaration and proposed pleading substantially complies with California Rules of Court, rule 3.1324. (See Kern Decl., ¶¶ 3-7, Exhs. A and B.) In sum, the court grants the motion. Plaintiffs SHALL separately file the proposed First Amended Complaint attached to the Kern Declaration as Exhibit A within five days. Plaintiffs to give notice.
6	Hawkins vs. Hyatt Corporation	<u>Motion for Leave (re Cross Complaint)</u> The court GRANTS the unopposed Motion for Leave to File a Cross-Complaint brought by Defendant HYATT

CORPORATION, pursuant to Code of Civil Procedure section 428.50.

Defendant seeks leave to file a Cross-Complaint against Aquatic Service, Inc., asserting the following claims: (1) Breach of Written Contract; (2) Express Indemnity; (3) Total Equitable Indemnity; (4) Partial Equitable Indemnity; (5) Contribution and Repayment; (6) Declaratory Relief re: Duty to Defend; (7) Declaratory Relief re: Duty to Indemnify; (8) Breach of Written Contract – Additional Insurance; and (9) Negligence. (Sandler Decl., ¶2, Exh. A.)

The proposed Cross-Complaint specifically identifies the instant action and asserts proposed Cross-Defendant shares liability for the injuries sustained by Plaintiffs. (Sandler Decl., ¶2, Exh. A at ¶6, ¶25, ¶26, ¶29 and ¶33.) Additionally, the proposed Cross-Complaint asserts Cross-Defendant is contractually obligated to indemnify and defend Cross-Complainant, within this action. (Sandler Decl., ¶2, Exh. A at ¶9, ¶12, ¶16, ¶19, ¶20, ¶38, ¶40 and ¶45.)

Per Defense Counsel, “[a]t the time of the incident, AQUATIC was providing professional pool and spa services to HYATT (via a written services agreement) for the subject property including the subject spa where the incident took place.” (Sandler Decl., ¶10.)

“Cross-complaints for comparative equitable indemnity would appear virtually always transactionally related to the main action.” (*Time for Living, Inc. v. Guy Hatfield Homes/ All American Development Co.* (1991) 230 Cal.App.3d 30, 38.) “An indemnity claim effectively seeks to apportion among the parties to the indemnity action the precise liability claimed by the plaintiff in the main action; therefore the indemnity claim of necessity arises out of the same occurrence or series of occurrences as asserted by the plaintiff.” (*Id.* at p. 39.)

Based on the above, the proposed pleading qualifies for leave pursuant to Code of Civil Procedure section 428.10, subdivision (b)(1).

		Additionally, as no prejudice is apparent, leave to file is GRANTED. Defendant shall separately file the proposed Cross Complaint, attached as Exhibit A to the Declaration of Erika Sandler, within 5 days of this order. Defendant to give notice.
7	Chaganti vs. Red Tail Residential LLC	<u>Motion to Dismiss or Stay for Forum Non Conveniens</u> The court DENIES without prejudice specially appearing Defendants RED TAIL RESIDENTIAL, LLC and LINDSY HARVEY's motion to dismiss or stay action for forum non conveniens. On 5/15/26, the court posted a tentative ruling, which described the reasons why Defendants failed to meet their burden of establishing that a mandatory forum selection clause was enforceable between the parties and why the public and private factors are neutral under a traditional discretionary forum non conveniens analysis. Defendants requested an opportunity to provide supplemental briefing to cure any defects raised in the tentative ruling, which the court granted. In Defendants' supplemental brief, Defendants offer two declarations, one by Lindsay Harvey and one by Lori Jones, which attempt to authenticate a lease agreement. Both declarations end with "I declare under the penalty of perjury the foregoing is true and correct." (See ROA 96 at 2:12 & ROA 97 at 2:16). Plaintiff objects to these declarations on the grounds that it does not comply with California law. Plaintiff is correct. The declarations are not made under penalty of perjury <u>under the laws of the State of California</u>. (See Code of Civ. Proc., § 2015.5.) "[Code of Civil Procedure] Section 2015.5 seeks to enhance the reliability of all declarations used as hearsay evidence by disclosing the sanction for dishonesty. Thus, the statute requires some acknowledgement on the face of the declaration that perjured statements might

trigger prosecution under California law.” (*Kulshrestha v. First Union Commercial Corp.* (2004) 33 Cal.4th 601, 606.) Section 2015.5 requires a declaration to recite “that it is certified or declared by [the affiant] to be true under penalty of perjury, is subscribed by him or her, and (1), if executed within this state, states the date and place of execution, or (2), if executed at any place, within or without this state, states the date of execution and that it is so certified or declared under the laws of the State of California.”

The declarations are therefore inadmissible to authenticate the lease agreement containing the mandatory forum selection clause.

Defendants attempt to remedy this error by offering supplemental declarations in Defendants’ supplemental reply and asks the court to consider this new evidence. The court previously gave Defendants an additional opportunity to authenticate the lease agreement by continuing the hearing and allowing Defendants to file supplemental declarations. Defendants again failed to meet their burden, and only after Plaintiff objected to the inadmissibility (again) of the lease agreement, Defendants attempt to offer the newly, corrected declarations. “The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers.” (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537). “The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers.” (*Id.* at 1537.)

Here, Plaintiff’s opposition meritoriously objected to Defendant’s evidence. The court will not consider the new declarations submitted with the reply brief.

In summary, the motion is DENIED without prejudice. Defendants failed again to establish by admissible evidence that a mandatory forum selection clause applies between the parties.

Further, the supplemental declarations of Lindsay Harvey and Lori Jones do not offer any substantial new evidence to change the court’s analysis on the traditional discretionary

		forum non conveniens analysis, as set forth in the court's tentative ruling, which was posted on 5/15/26. The court incorporates by reference the 5/15/26 tentative ruling to this ruling. Moving Defendants to give notice. The court will also note that neither Defendants have been served with the second amended complaint and this case is therefore still not at issue.
8	Smythe Volvo Veloce vs. Hernandez	<u>Motion to Quash Service of Summons</u> The court DENIES Defendant MAURICIO QUINTANILLA HERNANDEZ's motion to quash service of summons. Evidentiary Objection: The court SUSTAINS Plaintiff SMYTH VOLVO VELOCE's objection to the exhibits attached to Defendant's notice of lodging. On 4/3/26, Plaintiff filed a proof of service of summons, which states that Defendant was personally served on 2/27/26 at 6:07 p.m. by Liana Borisov, a registered California process server. (ROA 69.) Defendant Hernandez challenges the service, arguing that Hernandez was not actually personally served. Instead, Hernandez argues that Plaintiff's process server actually served a security guard and not Hernandez. Improper or invalid service is properly challenged by a motion to quash. (<i>Board of Supervisors v. Superior Court</i> (1994) 23 Cal.App.4th 830, 855, fn. 4; Code Civ. Proc., § 418.10(a)(1).) When a defendant moves to quash service, the burden is on the plaintiff to establish jurisdiction by a preponderance of the evidence. (<i>School Dist. of Okaloosa County v. Superior Court</i> (1997) 58 Cal.App.4th 1126, 1131.) However, this burden shifts when a properly executed proof of service has been filed. Filing a proof of service that

complies with the applicable statutory standards creates a rebuttable presumption that service was proper. (*Floveyor Int'l, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795; *American Exp. Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.)

Here, Plaintiff's proof of service, signed by a registered process server is sufficient to create a presumption that service of process. (*Floveyor Int'l, Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795; Cal. Evid. Code § 647).

The burden shifts to Defendant to provide sufficient contradictory evidence to rebut the presumption. The court finds that Defendant has failed to do so.

Defendant contends there is a surveillance video but failed to serve the surveillance video to Plaintiff. Further, no person purports to authenticate the surveillance video. Finally, the person who purports to authenticate a still of the surveillance video is Tamar Arminak, Defendant's attorney. Arminak however fails to provide sufficient foundation to establish that Arminak has sufficient personal knowledge to authenticate the still.

Defendant provides a declaration of Armando Arzata, the security guard. Defendant himself fails to offer a declaration to refute that he was personally served. In Plaintiff's opposition, Plaintiff offers a declaration of Liana Borisov, the registered process server. Borisov declares that upon serving, she "asked the man if he was MAURICIO QUINTANILLA HERNANDEZ and he said, "Yes, that's me." I then gave the Case Initiating Documents and then complimented the Property," which is consistent with the proof of service filed. (Borisov Decl., ¶ 6.)

The California Supreme Court has adopted a "liberal construction" of California statutes governing service of process. (*Pasadena Medi-Center Associates v. Superior Court* (1973) 9 Cal.3d 773, 778; *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 410.) So long as the defendant receives actual notice of the lawsuit, substantial compliance with the California statutes governing service of summons generally will be held sufficient. (*Pasadena Medi-Center*, 9 Cal.3d at 778; *Gibble v. Car-Lene Research*,

		<i>Inc.</i> (1998) 67 Cal.App.4th 295, 313; <i>Dill v. Barquist Construction Co.</i> (1994) 24 Cal.App.4th 1426, 1436-1437.) The court finds that Defendant has not met his burden of rebutting the presumption of proper service. As such, the motion is DENIED. Defendant SHALL respond to the Complaint within 20 days. Plaintiff to give notice.
11	Doe vs. Anaheim Elementary School District	<u>Demurrer</u> <u>Motion to Strike</u> 1. Demurrer The court SUSTAINS, with 5 days leave to amend, the unopposed demurrer by Defendant ANAHEIM ELEMENTARY SCHOOL, regarding the third cause of action of the Complaint filed by Plaintiff JANE JI DOE, a minor, by and through her Guardian ad Litem, SHARLENE SANCHEZ. The demurrer appears to be meritorious. Plaintiff’s third cause of action asserts Defendant failed to “properly warn, train, and/or educate their administrators, credentialed staff, and classified staff.” (Compl., ¶ 88.) As noted by Defendant, “a direct claim against a governmental entity asserting negligent hiring and supervision, when not grounded in the breach of a statutorily imposed duty owed by the entity to the injured party, may not be maintained.” (<i>de Villers v. County of San Diego</i> (2007) 156 Cal.App.4th 238, 255-256.) Similarly, while the third cause of action alleges a failure to properly warn, train, and educate students as to bullying (Compl., ¶¶ 85-87), schools do not have an actionable duty of care “in the discharge of their academic functions.” (<i>Peter W. v. San Francisco Unified School District</i> (1976) 60 Cal.App.3d 814, 825.)

Finally, it is undisputed Plaintiff failed to specifically plead a statutory basis for the direct liability asserted within the third cause of action.

“[I]n California all government tort liability is dependent on the existence of an authorizing statute or ‘enactment’...and to state a cause of action every fact essential to the existence of statutory liability must be pleaded with particularity, including the existence of a statutory duty.” (*Searcy v. Hemet Unified School Dist.* (1986) 177 Cal.App.3d 792, 802.) “Since the duty of a governmental agency can only be created by statute or ‘enactment,’ the statute or ‘enactment’ claimed to establish the duty must at the very least be identified.” (*Ibid.*)

The court notes that Plaintiff filed a notice of non-opposition to the demurrer. (ROA 41.)

2. Motion to Strike

The court **GRANTS** the unopposed Motion to Strike brought by Defendant ANAHEIM ELEMENTARY SCHOOL, to strike certain portions of the Complaint filed by Plaintiff JANE JI DOE, a minor, by and through her Guardian ad Litem, SHARLENE SANCHEZ. **Five (5) days leave to amend is GRANTED.**

The motion appears to be meritorious. Pursuant to Code of Civil Procedure section 436, the court may, upon a motion made pursuant to section 435 or at any time in its discretion, strike out “any irrelevant, false, or improper matter inserted in any pleading” or strike “out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436(a) and (b).)

The motion appears to be unmeritorious and Plaintiff filed a Notice of Non-Opposition to the motion to strike. (ROA 39.)

Defendant to give notice.

		And if Plaintiff does not file and serve an amended pleading within 5 days, then Defendant SHALL file and serve an Answer to the remaining portions of the Complaint by 9/14/26. 3. Upcoming CMC The case is not at-issue. As such, the court CONTINUES the Case Management from 8/31/26 to 11/23/26, at 10:00 am in Dept. W8. The court also DISCHARGES the Order to Show Cause set for 8/31/26. Plaintiff to give notice.
12	Run 2 Rescue vs. Rabinovitch	<u>Demurrer</u> <u>Order to Show Cause re Preliminary Injunction</u> 1. Demurrer The court SUSTAINS, with 20 days leave to amend, Defendants FRANK B. RABINOVITCH, KAREN LYNN RABINOVITCH, and MFTDS, INC. dba MASTER FUNDING CO.'s demur to the Complaint filed by Plaintiff RUN 2 RESCUE. Request for Judicial Notice: The court GRANTS Defendants unopposed request to take judicial notice of certain documents related – 1) Substitution of Trustee (“SOT”) recorded on 4/24/26 and 2) a screenshot of the Orange County assessor’s online tax records for the property at issue - 752 N. Creekview Drive, Orange, CA 92869 (the “Property”). The Complaint asserts the following eight causes of action against moving defendants: 1) violation of California Civil Code § 2934a 2) breach of contract 3) slander of title 4) cancellation of instruments 5) accounting 6) violation of

California Business & Professions Code § 6125 7) violation of the Truth in Lending Act (TILA), and 8) violation of California Business & Professions Code section § 17200.

1st C/A (violation of Civil Code, § 2934a)

The Complaint alleges that a SOT recorded on 10/22/25 is invalid under Civil Code section 2934a because it was acknowledged by a South Carolina notary public in the State of California. (Compl., ¶¶ 45-52.)

Civil Code § 2934a has a multitude of subsections, and the Complaint does not identify any particular subsection that Defendants violated. Instead, the Complaint alleges:

California Civil Code § 2934a sets forth the statutory requirements for a valid substitution of trustee, including execution and acknowledgment by the beneficiary or beneficiaries and proper recording before the substitute trustee may exercise the powers of the trustee. A substitution not executed and acknowledged in accordance with § 2934a—including a valid acknowledgment by an authorized officer within his or her territorial jurisdiction—is invalid, and any actions taken by the purported substitute trustee prior to a valid substitution and recordation are unauthorized. (Compl., ¶ 51.)

Section 2934a does not contain any provision regarding a notary public or regarding an “authorized officer within his or her territorial jurisdiction.” For this reason, the first cause of action fails to state a valid claim.

At any rate, Section 2934a(d) provides that a trustee named in a recorded SOT shall be deemed to be authorized to act as trustee from the date the SOT is executed. (Civ. Code § 2934a(d).) The first SOT was executed on 10/7/25, before the Notice of Default (“NOD”) was recorded. (Compla., Exhs. C and D.) The Complaint does not allege sufficient facts showing that MFTDS, Inc. dba Master Funding Co. (“MFTDS”) was not authorized to record the NOD or otherwise act as trustee.

Further, another SOT was recorded on 4/24/26 appointing MFTDS, Inc. as trustee. (RJN, Exh. 1.) Section 2934a(c) provides that a SOT may be recorded after a NOD has been recorded but prior to the recording of a notice of sale. (Civ. Code, § 2934a(c).) Any issue with the 2025 SOT then appears to have been rendered moot by the recordation of the 2026 SOT.

The demurrer to this cause of action is therefore SUSTAINED, with 20 days leave to amend.

2nd C/A (breach of contract)

“[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

The Complaint alleges that Defendants breached the Note by (a) failing to apply the \$1 million principal “Donation” credit to reduce the principal balance as required; and (b) charging or attempting to charge interest based on an inflated principal balance, contrary to the Note’s terms. (Compl., ¶ 60, Exh. B.)

The Promissory Note attached to the Complaint states that Plaintiff promises to pay Defendants \$3.3M at 3% interest. (Comp., Exh. B.)

The Note, however, states that, notwithstanding any terms to the contrary:

Lender shall, credit by way of ‘Donation’ to Borrower the sum equal to any and all amounts paid by Borrower to Lender as a Principal Payment until an amount of One Million Dollars (\$1,000,000.00) has been paid by Borrower. Borrower shall issue and deliver a donation receipt to Lender for each and every Donation credit to the Principal of the Note, on a form acceptable to Lender. A Payment on the Note may be paid by Borrower to Lender by a Borrower payment,

proceeds of a refinance of the Property, a third party Principal payment to Lender on behalf of Borrower, or any payment whatsoever that reduces the Principal of the Note. Lender's Donation obligation to the principal of the Loan shall not obligate Lender to make an additional principal payment to the Loan Balance.

It is the express intent of Borrower and Lender that Lender shall reduce and credit the Principal amount of the Note by One Million Dollars (\$1,000,000.00) whether or not Lender ever receives a Principal payment from Borrower or any other person or entity during the term of this Note. If at any time the Note is paid in full, it is the express intent of Borrower and Lender that Lender shall reduce and credit the Principal amount of the Note by a sum total aggregate amount of One Million Dollars (\$1,000,000.00).

Notwithstanding any terms to the contrary contained within this Note Principle payments shall be:

Mandatory Principle Payment	Percent of Mortgage Principle
In year 1 by January 31, 2021	0.25 (one quarter of 1 percent)
In year 2 by January 31, 2022	0.50 (one half of 1 percent)
In year 3 by January 31, 2023	0.50 one half of 1 percent)
In year 4 by January 31, 2024	0.0 (zero percent)
In year 5 by January 31, 2025	0.0 (zero percent)
Years 6-30	Standard 25 year fully amortized at 3% interest Principal and Interest payments.

Civil Code section 1636 provides that a contract must be so interpreted as to give effect to the mutual intention of the

parties as it existed at the time of contracting, so far as the same is ascertainable and lawful (Civ. Code, § 1636.) That intent is determined under an objective standard. (*Badie v. Bank of America* (1998) 67 Cal.App.4th 779, 802, fn. 9.)

The phrase “it is the express intent of Borrower and Lender” signals intent but may not, by itself, constitute a command. While the Note states that the credit up to \$1M would be applied for any principal payment, it also states that the parties intended for this credit to be applied “whether or not Lender ever receives a Principal payment from Borrower or any other person or entity.” (Compl., Exh. B.)

The Note is not ambiguous that the credit of up to \$1M would be applied prior to payoff if Lender never received a principal payment. The Note did not require Defendants to credit the Loan for the full amount of \$1,000,000.00 immediately after origination of the Loan or at any time prior to full payoff of the Loan. The Note requires a matching principal reduction in a particular amount if a principal payment in that amount from any source was made on the Loan.

Thus, Plaintiff’s allegations that Defendants breached the Note by failing to apply the \$1M principal “donation” credit is insufficient because the Complaint does not allege anyone ever made a principal payment of \$1M or that the loan was ever paid off.

Plaintiff’s claim that Defendants breached the Note by charging or attempting to charge interest based on an inflated principal balance appears to be a misinterpretation of the Note. (Compl., ¶ 60, Exh. B.)

The demurrer to this cause of action is therefore sustained, with 20 days leave to amend.

3rd C/A (slander of title)

Under California law, a claim for slander of title has four elements: (1) “a publication;” (2) “which is without privilege or justification and thus with malice, express or implied;” (3) “is false, either knowingly so or made without

regard to its truthfulness;" and (4) "causes direct and immediate pecuniary loss." (*Howard v. Schaniel* (1980) 113 Cal. App. 3d 256, 263; *Manhattan Loft, LLC v. Mercury Liquors, Inc.* (2009) 173 Cal. App. 4th 1040, 1051.)

The Complaint alleges Defendants slandered Plaintiff's title to the Property by recording the Notice of Default. This claim repeats and relies on Plaintiff's allegations that Defendants did not apply the \$1M principal "donation" credit. (Compl., ¶¶ 68-84.) As discussed previously, the allegations are insufficient to allege Defendants breached the Note.

"The recording of a notice of sale and notice of default are privileged. Section 2924, subdivision (d)(1), provides that '[t]he mailing, publication, and delivery of notices as required' by section 2924 'constitute privileged communications pursuant to Section 47.' (§ 2924, subd. (d)(1).) Section 2924 mandates the recording of both a notice of default (*id.*, subd. (a)(1)), and a notice of sale (*id.*, subd. (a)(3))." (*Schep v. Capital One, N.A.* (2017) 12 Cal.App.5th 1331, 1336.) Further, Plaintiff does not allege sufficient facts establishing that Defendants acted with malice, as Plaintiff's allegations that Defendants did so is apparently based on Plaintiff's conclusion that Defendants wrongfully failed to apply the \$1M principal reduction credit.

The demurrer to the third cause of action is therefore sustained, with 20 days leave to amend.

4th C/A (cancellation of instruments)

Based upon the allegations that the SOT is invalid because it was improperly notarized outside of the notary's jurisdiction and the NOD is invalid because it was executed by an entity that was never properly substituted as trustee, Plaintiff seeks to cancel or void the SOT recorded on 10/22/25 and the NOD recorded on 10/22/25.

Civil Code section 3412 states, "[a] written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person

against whom it is void or voidable, may upon his application, be so adjudged, and ordered to be delivered up or cancelled.” (Civ. Code, § 3412.)

Plaintiff has not cited any authority establishing that the 2025 SOT is invalid because it was notarized by a South Carolina notary. At any rate, Defendants contend that any defect in the 2025 SOT was cured by the recordation of the 2026 SOT. Plaintiff does not respond to this argument, other than to state that the 2026 SOT presents a factual issue.

As the cancellation claim rests entirely on the argument that MFTDS was not properly substituted as trustee, the demurrer to the fourth cause of action is sustained, with 20 days leave to amend.

5th C/A (accounting)

The Complaint alleges:

PLAINTIFF has made payments and issued donation receipts in accordance with the terms of the NOTE, but the BENEFICIARIES have failed to provide a full and accurate accounting of the amounts credited, the application of the \$1,000,000.00 principal “Donation” credit, and the calculation of interest and principal balances.

PLAINTIFF has requested an accounting from the BENEFICIARIES to determine the correct amounts due and owing under the NOTE, including the proper application of payments, credits, and interest calculations, but the BENEFICIARIES have failed and refused to provide such an accounting.

(Compl., ¶¶ 101-102.)

A claim for an accounting may be brought to compel the defendant to account to the plaintiff for money or property (1) where a fiduciary relationship exists between the parties, or (2) where, even though no fiduciary relationship exists, the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable. (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872,

910.) The relationship between a lender and a borrower is not fiduciary in nature as a matter of law. (*Nymark v. Heart Fed. Savings & Loan Assn.* (1991) 231 Cal.App.3d 1089, 1093, fn.1.) Further, Plaintiff has not pleaded sufficient facts indicating that the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.

Additionally, “A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting.” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.)

Here, the Complaint does not sufficiently allege that an amount is due from Defendants to Plaintiff. As such, the demurrer to the fifth cause of action is sustained, with 20 days leave to amend.

6th C/A (violation of Bus. & Prof. Code, § 6125)

“No person shall practice law in California unless the person is an active licensee of the State Bar.” (Bus. & Prof. Code, § 6125.)

The Complaint alleges Steve Wheeler is a disbarred attorney and engaged in the practice of law by executing and recording the NOD, “communicating with PLAINTIFF regarding legal rights and obligations under the DOT, and representing MFTDS in foreclosure proceedings.” (Compl., ¶ 112.)

Business and Professions Code section 6125 does not create a private cause of action: “Nothing in the language of the statute or its legislative history suggests that a private cause of action is authorized under its terms.” (76 Ops.Cal.Atty.Gen. 193, p. 1 (1993); see also Bus. & Prof. Code, § 6126.5(a) [“In addition to any remedies and penalties available in any enforcement action brought in the name of the people of the State of California by the Attorney General, a district attorney, or a city attorney, acting as a public prosecutor, the court shall award relief in the enforcement action for any person who obtained

services offered or provided in violation of Section 6125 or 6126 or who purchased any goods, services, or real or personal property in connection with services offered or provided in violation of Section 6125 or 6126 against the person who violated Section 6125 or 6126, or who sold goods, services, or property in connection with that violation.”].)

As a general rule, “[i]f the Legislature intended a private right of action, that usually ends the inquiry. If the Legislature intended there be no private right of action, that usually ends the inquiry. If we determine the Legislature expressed no intent on the matter either way, directly or impliedly, there is no private right of action ..., with the possible exception that compelling reasons of public policy might require judicial recognition of such a right.” (*Animal Legal Defense Fund v. Mendes* (2008) 160 Cal.App.4th 136, 142.)

Moreover, Plaintiff has not cited any authority indicating that executing a notice of default or representing an entity in a nonjudicial foreclosure constitutes the practice of law.

The demurrer to the sixth cause of action is sustained, with 20 days leave to amend.

7th C/A (violation of the TILA)

The Complaint alleges Defendants violated the Truth in Lending Act (“TILA”) by “fail[ing] to provide PLAINTIFF with the required amortization schedule, payment table, or any written disclosure of how payments should be calculated or applied under the terms of the NOTE and DOT.” (Compl., ¶ 117.)

Loans obtained primarily for business purposes are not covered by TILA. (15 U.S.C. § 1603 [“This subchapter does not apply to the following: (1) Credit transactions involving extensions of credit primarily for business, commercial, or agricultural purposes, or to government or governmental agencies or instrumentalities, or to organizations.”].)

TILA’s corresponding Regulation Z reflects this understanding and exempts certain categories of

transactions. One such exemption is “[a]n extension of credit primarily for a business, commercial or agricultural purpose.” (12 C.F.R. § 226.3(a)(1).) Another exemption is “[a]n extension of credit to other than a natural person, including credit to government agencies or instrumentalities.” (12 C.F.R. § 226.3(a)(2).)

Plaintiff is an entity that apparently obtained the loan to purchase property to operate its business. (Compl., ¶¶ 1, 21.) That Plaintiff’s founders also live at the Property does not change these facts.

The demurrer to the seventh cause of action is sustained, with 20 days leave to amend.

8th C/A (violation of Bus. & Prof. Code, § 17200)

The eighth cause of action is for violation of the Unfair Competition Law (“UCL”), Business & Professions Code § 17200.

“The UCL prohibits, and provides civil remedies for, unfair competition, which it defines as ‘any unlawful, unfair or fraudulent business act or practice.’ ” (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 320.) “A plaintiff may pursue a UCL action in order to obtain either (1) *injunctive relief*, ‘the primary form of relief available under the UCL,’ or (2) *restitution* ’ “as may be necessary to restore to any person in interest any money or property, real or personal, which may have been acquired by means of such unfair competition.” ’ “ (*Jenkins v. JP Morgan Chase Bank* (2013) 216 Cal.App.4th 497, 520, 156 Cal.Rptr.3d 912.)

Plaintiff’s UCL claim rests on the same allegations underlying Plaintiff’s other causes of action. (Complaint, ¶¶ 124-142.) As such, Plaintiff has not sufficiently alleged unlawful, fraudulent, or unfair conduct for purposes of the UCL.

The demurrer to the eighth cause of action is therefore also sustained, with 20 days leave to amend.

Defendant to give notice.

2. OSC Re Preliminary Injunction

The court **DENIES** Plaintiff's motion for a preliminary injunction enjoining Defendants from conducting a trustee's sale of the Property. The temporary restraining order is therefore DISSOLVED.

A plaintiff seeking a preliminary injunction bears the burden of presenting facts which show a reasonable probability that it will succeed on the merits (*Fleishman v. Superior Court* (2002) 102 Cal. App. 4th 350, 356) and that harm that would result if a preliminary injunction was not granted. (*Casmalia Resources, Ltd. v. County of Santa Barbara* (1987) 195 Cal. App. 3d 827, 838.) In determining whether to issue a preliminary injunction, the court should balance the equities: (1) are the plaintiffs likely to suffer greater injury from a denial of the injunction than the defendants are likely to suffer from its grant and (2) is there a reasonable probability that the plaintiff will prevail on the merits. (*Teamster Local 856 v. Priceless, LLC* (2003) 112 Cal. App. 4th 1500, 1509.) These prongs are considered on a sliding scale. "[T]he more likely it is that plaintiffs will ultimately prevail, the less severe must be the harm they allege will occur if the injunction does not issue." (*Right Site Coalition v. Los Angeles Unified Sch. Dist.* (2008) 160 Cal. App. 4th 336, 342.)

The plaintiff bears the burden of showing all elements necessary to support the issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006), 141 Cal.App.4th 1452, 1481.)

Irreparable Harm

Normally in foreclosure cases, irreparable injury is presumed. (See, e.g., Civ. Code § 3387; *Friedman v. Wells Fargo Bank N.A.* (C.D. Cal. Jan. 23, 2014) 2014 WL 12572928, at *2 [Real property is considered unique and "[i]n the case of a wrongful foreclosure and sale, money compensation would not provide an adequate remedy to plaintiff."].)

Plaintiff has provided evidence that its founders, Bartley and Shannon Forsythe, live at the property along with individuals who have survived sex trafficking. (Forsythe Decl., ¶¶ 2-5.)

Defendants' declarations also establish that they have been suffering harm as a result of Plaintiff's failure to make a payment on the Note for over a year. They have been forced to incur high interest credit card debit to make living expenses as they relied on the income stream from this loan. (Rabinovitch Decl., ¶¶ 23-26.)

The court finds that Plaintiff has sufficiently established the element of irreparable harm.

Probability of Success

"The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction." (*Butt v. State of California* (1992) 4 Cal.4th 668, 678.) "A trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim. (Citation omitted.)" (*Id.*)

In its moving papers, Plaintiff refers to a cause of action for fraudulent inducement and/or predatory lending. (ROA 42 at 7:16.) The Complaint however does not assert such a cause of action.

As discussed above, Plaintiff's claims are negated in large part by the Note, the other exhibits attached to the Complaint, or by the judicially noticeable SOT recorded in 2026. Plaintiff has not sufficiently plead any viable cause of action.

Accordingly, the court finds that Plaintiff has not established a possibility that it will prevail on the merits of its claims.

The request for a preliminary injunction is therefore denied.

		Defendants to give notice.
13	Quick Bridge Funding, LLC vs. Williams	<u>Motion for Summary Judgment</u> The court GRANTS Plaintiff QUICK BRIDGE FUNDING, LLC's motion for summary judgement of Plaintiff's Complaint against Defendant JUNDI WILLIAMS. Defendant's Evidentiary Objections: OVERRULED The Complaint asserts a single cause of action for breach of guaranty against a single defendant, Jundi Williams. "[T]he elements of a cause of action for breach of contract are: (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821.) Plaintiff proffers evidence supporting each of these elements. Specifically, Plaintiff proffers evidence of the following: (1) a business loan agreement that was personally guaranteed by defendant (Otero Decl., Exh. 1); (2) Plaintiff performed all of its conditions required under the agreement (Otero Decl. ¶ 9); (3) Defendant breached the agreement on or about 11/7/25 by failing to make required payments despite demand (Otero Decl. ¶ 6, Exh. 2); and (4) there is an outstanding loan balance owed to Plaintiff in the amount of \$79,687.50 (Otero Decl. ¶ 8, Exh. 2). Defendant argues that Plaintiff's evidence is insufficient to meet its burden on summary judgment because Sandra Otero did not declare that she was a party or witness or that she had any personal knowledge of the Loan Agreement or Guaranty. The court finds the Otero Declaration to be sufficient. Notably, Otero declares under penalty of perjury that she is the Chief Operating Officer of Quick Bridge and is a custodian of records for Quick Bridge, who has full access

to the records and has been employed by Plaintiff since 2018. She further declares that the loan documents are prepared by the personnel of Quick Bridge in the ordinary course of its business of financing loan transactions, and that the records are made at or near the time of the acts, conditions, or events indicated in the records.

The court finds that Plaintiff met its burden on summary judgement.

Defendant's opposition offers no contrary evidence sufficient to show a triable issue of material fact. For example, Defendant does not submit any declaration denying that Defendant entered into the guaranty or contesting the payment history.

Defendant proffers only the declaration of its limited scope representation attorney John Hamilton, who explains that he provided the defendant's general denial and affirmative defenses. Defendant appears to be arguing that there is a triable issue of material fact related to the thirteenth affirmative defense concerning whether or not Plaintiff complied with Civil Code section 1633.5(b). Section 1633.5 discusses the requirement for parties to have "agreed to conduct the transaction by electronic means."

Importantly, a plaintiff moving for summary judgement is not initially required to disprove affirmative defenses. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 853 ["summary judgment law in this state no longer requires a plaintiff moving for summary judgment to disprove any defense asserted by the defendant as well as prove each element of his own cause of action."].) Once a plaintiff moving for summary judgment meets its burden, "the burden shifts to the defendant ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc. § 437c(p)(1), emphasis supplied.)

Here, Defendant does not present any facts or evidence indicating that Defendant did not agree to conduct any transaction with Plaintiff by electronic means. Further, the evidence proffered show that Defendant did agree to conduct the transaction by electronic means. For example,

		Section 26 of the Loan Agreement signed by Defendant states: For purposes of the execution of this Agreement and documents, electronic signatures and fax signatures shall be treated in all respects as original signatures. An electronic signature may be used to execute this Agreement and any other related documents. For purposes of the execution of this Agreement and documents, Borrower's electronic signature may be obtained through an automated transaction, computer program or other electronic process to show the electronic signature is attributable to Borrower and Borrower's intent to sign such Agreements and documents. Borrower agrees that an electronic signature obtained through any such automated transaction, computer program or other electronic process has the same legal and morale effect as if Borrower signed such Agreements and documents in ink and will be deemed valid, authentic, enforceable and binding and that such electronically signed documents shall be deemed originals. (Otero Decl., Exh. 1, pg. 8 (at ¶ 26).) In sum, Defendant has not shown a triable issue of material fact. For the above reasons, Plaintiff's motion for summary judgement is GRANTED. The court VACATES the scheduled 5/10/27 court trial. Plaintiff to give notice and submit a proposed judgment.
